FIGURE 1.3 The spectrum of balancing, hedging, and bandwagoning*
*The intention of this figure is not to establish fixed lines along the spectrums of different theories and types of hedging but rather to indicate a potential framework exploring India's policy response to China's rise. Sources; Lim and Cooper (2015), Selden (2013), Pape (2005), Koga (2017), Tunsjo (2017), Tunsjo (2013), and authors.

How to measure state behaviour

In order to identify variations, changes, and emerging trends in state behaviour and conclude whether India is pursuing balancing, bandwagoning, or hedging, it is necessary to examine policies and actions in specific areas. We have identified the following four areas, or indicators, of Indian policy behaviour to be essential: alignment policies (external balancing), military and defence policies (internal balancing), economic policies, and diplomacy/institutions. We argue that the alignment and military/defence policy variables have the highest explanatory value identifying state behaviour, followed by economic policies, since economy is also a "material" capability, and then the less tangible indicator of diplomacy. In an age of economic interdependence and multilateralism, we should be careful about taking increased trade and membership in regional or global institutions as a token of deepening cooperation. According to Lim and Cooper, economic factors are "poor signals of security alignment" because the contemporary world is already economically interdependent, with global value chains. They thus argue that only a security alignment pattern is a clear and significant indicator to determine policy changes towards balancing or bandwagoning.[58] Accordingly, we argue that if State A (India) is in a military alliance with State B (the United States), it is balancing against State C (China) regardless of economic cooperation between A and C. The only exception would be if State A is economically fully dependent on trade with and investments from State C.